CHAPTER 1

What Is Neoliberalism?

"Neoliberalism" is an inconvenient, albeit important, term for critical inquiries into the socioeconomic and political conditions of the capitalist present. Nevertheless, the problem remains that the potential usefulness of the term is greatly diminished because its meaning is unclear, or, possibly, as its critics believe, it has no meaning. Thus, it is no surprise that researchers who study neoliberal theory and/or practice feel compelled to offer a straightforward and unambiguous definition to preempt the charge of harboring an empty signifier floating around at the heart of their research agenda. However, this has led to a great number of studies that seek to define neoliberalism either through a set of specifically neoliberal policies like deregulation or privatization (see Chomsky 1999, 19; Larner 2000; Steger and Roy 2010, 14; Mirowski 2013, 333) or through some kind of conceptual kernel that supposedly represents its very essence (see Crouch 2011, vii; Mudge 2008, 706–707). However, these efforts are plagued by difficulties: There is an ineradicable air of arbitrariness to the various policy lists, and the breadth and internal heterogeneities of "variegated" (Jessop 2016, 123) and "polymorphic" (Peck 2010, 8) neoliberalism seem to defy any attempt at developing "a generic and trans-historical definition of neoliberalism" (Hay 2007, 53)—and this applies not only to actually existing neoliberalism but to its discourse as well. Still, it is hardly a

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solution to postulate that there "are thus a number of distinct, but related neoliberalisms" (Roy, Denzau, and Willett 2007, 5), since this only exacerbates the problem by having to define each and describe the nature of the bond that relates them.

This, then, is the predicament in which any work on neoliberalism finds itself. The main task of this chapter is therefore to develop an understanding of neoliberalism that avoids the overly parsimonious fallacy of attempting to "transcendentally 'fix' neoliberalism" with reference to some essence or core (Peck 2010, 15)—an understanding that is sufficiently accurate to capture the internal heterogeneity without dissolving neoliberalism entirely into multiple neoliberalisms without any underlying unity. I choose the following conceptual strategy in this undertaking.

Given the marked absence of any self-proclaimed neoliberals today and the suspicion harbored by some commentators that neoliberalism may have never existed other than as "a figment of the fevered left" (Mirowski 2009, 426), I argue that a useful starting point to investigate the meaning of neoliberalism is to look at what those who actually referred to themselves as neoliberals associated with the term. In other words, the first step in gaining an understanding of the neoliberal project(s) is the reconstruction of the historical context of its emergence, which may be summed up as the crisis of liberalism. Neoliberalism must be understood, first and foremost, as a response to this crisis based on a diagnosis of the factors that led to its decline. Out of this I distill what I call the neoliberal problematic, which, in my view, strikes the right conceptual balance between the unity and the heterogeneity of neoliberal thought. Neoliberalism, I argue, was never emphatically "one," and the historical approach employed here has not been chosen in the hope of finding the single origin of neoliberalism, where its essence could be isolated from all contingent ingredients in pristine purity, because there is no such place. Despite the undeniable tensions within neoliberal discourse that characterized it even in its origins, what *did* unite those who called themselves neoliberals was a shared problematic that animated their efforts. The market lay at the center of this problematic, but the problematic was inherently political, as I show in contrast to the conventional economistic accounts of neoliberalism.

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The Birth of Neoliberalism: The Colloque Walter Lippmann and the Crisis of Liberalism

It stands to reason that few if any of the participants of the Colloque Walter Lippmann anticipated that their meeting would retrospectively come to be considered as marking the birth date of an entire intellectual tradition when they gathered at the Institut International de Cooperation Intellectuelle in Paris during the last days of August 1938. The five-day colloquium had been organized to discuss the American journalist Walter Lippmann's book *The Good Society*, published in 1937. Lippmann attended along with twenty-five mostly European thinkers from various countries (see Reinhoudt and Audier 2018; Walpen 2004, 55–61). In the records of this meeting we first find the term "neoliberalism" connoting a common agenda and a shared project.[1] Of course, referring to the birth of neoliberalism and the records of the meeting makes it seem as if a single origin and a founding text by Walter Lippmann were, after all, available as core ingredients of a straightforward definition of neoliberalism, but the simplicity of the narrative and the metaphor is deceiving.

Neither is there a single origin of neoliberalism nor is there an "ur-text" authored by Lippmann or any other neoliberal.[2] In fact, while Louis Rougier, who was the official convener of the meeting, supposedly added the term "neoliberalism" to the records after the meeting, it is not clear whether there was a consensus to adopt this particular label during the actual discussions (see Burgin 2012, 73; Walpen 2004, 60). More complications to the alleged birth of neoliberalism could be added, the gravest of which was the impending World War II, which stopped the neoliberal project with its plans for a research center, regular meetings, and intensified network building in its tracks. It took almost a decade after the Colloque for a similar meeting to take place—the second birth of neoliberalism, if you will—in April 1947, when sixty participants gathered in Switzerland to form the Mont Pelerin Society (MPS), which, to this day, is considered to represent a "neoliberal international" (see Mirowski and Plehwe 2009), although the word "neoliberalism" never even made it into the society's official *Statement of Aims* that had been agreed on by the founding members.

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Yet the Colloque still does mark a useful starting point for an examination of the neoliberal project because its agenda and that of the founding conference of the MPS, in combination with the writings of some of the participants, can help us reconstruct the context of the emergence of neoliberalism as an intellectual-political project and the rationale underlying it.

Lippmann's *Good Society* was a highly inconsistent treatise; however, its diagnosis and overall assessment of the times struck a chord with some of the leading future neoliberals. Lippmann depicted and dissected a classical liberalism in rapid decline and called for an effort to stabilize and consolidate the course of an intellectual tradition that was otherwise bound to tumble straight into oblivion. This was the catalyst for people like Hayek in London or Röpke in Geneva, who shared some of these worries, to call for a meeting to discuss not only Lippmann's book but the dire condition of liberalism more generally. Accordingly, the context of neoliberalism's intellectual inception can succinctly be stated as the crisis of liberalism.

So let us take a look at some of the main factors that could be considered symptoms of the possibly fatal crisis of liberalism. By the late 1930s proponents of liberalism—and not only them (see Polanyi 2001, 3)—had become convinced that the decline of the liberal age had been set in motion with the onset of World War I in 1914. The war was of course a catastrophic and deeply traumatizing event for (Western) civilization in any number of respects, but it dealt a particularly heavy blow to a broadly liberal worldview for two reasons. First, the mostly optimistic outlook on history shared by many currents of liberalism, including the more popularized versions, was shattered by the atrocities of a war fought with the utmost disregard for human life; the Western Front was described as "a machine for massacre" (Hobsbawm 1994, 25). The relapse into four years of barbarism made the talk of progress (through commerce) ring hollow if not outright cynical. The world seemed to have entered a period in which the notion of progress became elusive and was increasingly replaced by "a sense of catastrophe and disorientation" (ibid., 94).

Second, the war complicated the liberal position because up until this time, ideas about (socialist) state planning had been just that, *ideas* that could be dismissed as unrealistic and irremediably utopian. However, World War I proved that economies could be run to a considerable degree on the basis

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of centralized planning without collapsing—which became even more obvious during World War II. At least in certain currents of liberalism the prime argument against socialism before the war had been that it was not only undesirable but also simply unattainable. This position became much more difficult to maintain with planning taking place in the war economy. To some extent the famous Socialist Calculation Debate during the 1920s and 1930s, in which some representatives of the Austrian school such as Ludwig von Mises and Hayek participated, has to be understood as an attempt to prove that despite these seemingly promising experiences, experiments in planning without markets and market prices were still ultimately doomed to fail.

During the 1920s, efforts were undertaken to restore the liberal civilization of the nineteenth century (see Polanyi 2001), but at the end of the 1920s they proved futile, as liberalism suffered another severe setback in the form of the Great Depression. While liberals had tried to prove theoretically that socialism was bound to collapse in the Socialist Calculation Debate, capitalism actually did collapse in practice on an almost worldwide scale. Given the enormity of the economic and social devastation caused by the crisis, it is no surprise that a broadly liberal position in favor of capitalist markets as indispensable guarantors of growth and wealth lost much, if not all, of its appeal, especially among the masses hit by unemployment and thrown into poverty. Thus, the crisis and its socioeconomic fallout created major problems for liberalism, as the pressure on elected governments to get involved in active crisis management and alleviate at least the most severe social problems increased to a point where the respective demands became almost impossible to ignore. Two developments in particular signify this turn of the tide that is of crucial importance for the inception of the neoliberal project.

The first is the New Deal, which President Franklin Roosevelt had characterized as "liberal" and which attracted considerable ire from Lippmann. The reforms associated with this label not only manifested a significant buildup of the American welfare state at the federal level through the introduction of a social insurance system; it also represented a profound change in the overall philosophy of the state. The state explicitly adopted a new set of responsibilities toward its population that no longer pertained only to defending it against external enemies, enforcing the law, and providing a minimum

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of public infrastructure. It now included attending to socioeconomic welfare more broadly, especially with regard to the adverse effects of a capitalist economy (see Hobsbawm 1994, 96, 138–140). The stoic attitude of letting economic crises run their course combined with the denial of any more than rudimentary responsibility for social ills had fallen into disrepute over the years of crisis, and governments all over the North Atlantic world began to reconsider their role in regard to the economy and society. John Maynard Keynes's theories came to represent this changed attitude, which brings us to the next facet of the liberal crisis, the rise of Keynesianism.

As early as 1924 Keynes had famously proclaimed "the end of laissez-faire" in a lecture of the same title he delivered at Oxford. It may have been premature at the time, but the 1930s proved Keynes right, although "hegemonic Keynesianism" would not come to full fruition until the post–World War II era. Keynes essentially argued for an active involvement of the state in economic policy in its various aspects. The position shared by welfare economics and economic liberalism was that capitalist markets would more or less automatically recover from external shocks or crises and slide back into market-clearing equilibria, guaranteeing profits, growth, and employment. However, Keynes contended that it was possible for markets to get stuck in suboptimal equilibria where continued stagnation, unemployment, and deflation loomed large unless the state stepped in to jump-start the economy. This could be achieved through an expansionary monetary policy, such as lowering interest rates and thus reducing the price of money, but even more important, through public investment to boost aggregate demand and thus encourage the private sector to expand production and investment. As the Great Depression dragged on, Keynes's view that dysfunctional markets without built-in correctives could get locked into crisis conditions offered the basis for a plausible interpretation of the empirical evidence. Moreover, his work, culminating in the *General Theory of Employment, Interest and Money*, published in 1936, provided governments with a sorely needed set of policy instruments that allowed for a more hands-on approach to dealing with an ailing economy. The rise of this activist philosophy of government, which even justified running deficits under certain conditions to pump money into an economy in crisis, was an important factor in the formation of neoliberalism, although the relation between the

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various neoliberals and Keynes(ianism) is more complex than one might expect.[3] Overall, though, Keynes, and much more so Keynesian*ism* as it was further developed by economists like Joan Robinson and Nicolas Kaldor, represented a veritable bête noire for liberalism in the 1930s and beyond (see Hayek 1978a). The rise of the former was inextricably tied to and gave a clear indication of the latter's decline.

The final development contributing to the liberal crisis was surely the most alarming for the participants of the 1938 Colloque: the ascendency of deeply antiliberal political forces from Bolshevik Communism on the left of the political spectrum to European Fascism and German National Socialism on the right, as well as plain "old-fashioned authoritarians or conservatives" somewhere in between (Hobsbawm 1994, 113).

Needless to say, the very existence of the Soviet Union, with its centrally planned economy, provided a challenge for those liberals who had been arguing that socialism could not work. While it was hardly a secret that the Soviet Union had evolved into a deeply repressive regime that persecuted individuals and groups, its apologists pointed out that it had weathered the storm of the Great Depression better than many other societies, which had, in turn, raised the interest in "planning" even in capitalist countries (Hobsbawm 1994, 96). In any case, as repressive or even outright totalitarian as the Soviet Union may have been, in 1938, there was no reason to assume that it and its collectivist economy would collapse anytime soon. If the experience of wartime socialism was a thorn in the side of liberalism, proving that planning could work on a limited scale, the Soviet Union was a massive spear and evidence that entire societies could be organized according to a centralized plan—albeit at the cost of basic rights and the loss of hundreds of thousands of lives.

Similarly, Europe in 1938 was the site of triumphant antiliberal forces almost wherever the eye could turn—but here they predominantly hailed from the right of the political spectrum. National Socialism had seized power in 1933 in Germany, forcing the Colloque attendees Röpke and Rüstow into exile, and Italian Fascism continued to reign. In Spain, Franco's Falange had defeated the republican forces in the civil war, and in other countries, such as Hungary and Finland, semifascist authoritarian movements and parties were not in power but gaining political ground. And like Soviet Communism,

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the Fascist and National Socialist regimes were far from crumbling; so for an observer of the liberal persuasion the overall scenery must have seemed rather apocalyptic. After all, while Communism and Fascism would not agree on much else, they were united in their fierce enmity of anything bourgeois or liberal (see Furet 1999): "For a generation liberalism in Europe seemed doomed" (Hobsbawm 1987, 333).

These are the most striking symptoms of the crisis of liberalism, and the neoliberal project must be understood as a reaction and response to what the neoliberals-to-be perceived as a crisis of truly existential proportions, one addressed in various sessions at the Colloque devoted to the factors responsible for the decline of neoliberalism (see Reinhoudt and Audier 2018). This interpretation of the neoliberal project as a reaction to the antiliberal syndrome just described provides us with the first clue for the clarification of the neoliberal project's content through an understanding of what it was opposed to, or, to use an expression coined by Michel Foucault, its "field of adversity" (2008, 106).

The Field of Adversity

There can be little doubt that the key intellectual and political adversary of neoliberalism was what the early neoliberals would call "collectivism," although they may also have used more specific vocabulary. In this choice of words an important positioning already becomes clear, foreshadowing a terminological strategy later to be found in many theories of totalitarianism. In this perspective, the political distinction of significance is not right versus left, or Communism versus Fascism, but rather totalitarianism versus liberalism, or collectivism versus individualism. In other words, while there may be some differences between Fascist and Communist regimes, according to the neoliberal view their crucial common denominator is that they are collectivist. The possibly best example of this position is, of course, Hayek's *The Road to Serfdom* (2001), originally dedicated to the "Socialists of all Parties." Animated by the concern that the Allies might win the war but lose the battle of ideas and thus resort to planning beyond the wartime economy, Hayek aimed mainly to show that the well-meaning advocates of modest planning were inadvertently playing into the hands of those with whom they

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were at war. What must be defended against collectivisms of all persuasions is "an individualist civilization" (Hayek 2001, 14) that is equally endangered by Fascism and Communism (ibid., 27). We can also include similar views of other Colloque attendees such as Lippmann and Rüstow. Furthermore, Eucken's fundamental distinction between a centrally administered economy (*Zwangsverwaltungswirtschaft*) and an exchange economy (*Verkehrswirtschaft*) introduced in his *Foundations of Economics* published two years after the Colloque, which he was barred from attending by the Nazis, indirectly confirms that the purposes of centralization in the first system are of no real significance (see Eucken 1951a, 119–132). Thus, the first thing to note with regard to neoliberalism's field of adversity is that neoliberals of the 1930s and 1940s were staunch anticollectivists and defined themselves predominantly against both National Socialism/Fascism and Communism.[4]

In some of the more recent scholarship on the origins of neoliberalism, it has been argued that this is noteworthy because it shows how the main targets of neoliberal criticism shift over the years and decades. Although contemporary neoliberalism may be strongly associated with the critique of the state in general and the welfare state in particular, this allegedly differs from the situation in its early days: "At this stage, neo-liberal authors focused their energies on opposing the socialist and fascist strands of this discourse [on planning]," writes Ben Jackson; "the chief enemy of the neoliberals was not the nascent welfare state or even Keynesian economics" (2010, 140). This is an important point and a reminder of the difficulties involved in defining something that has a history and whose contours and the relative priority of its oppositions shift over the course of time. And, of course, Jackson has a point; after all, one session at the Colloque was even devoted to the question of whether and how liberalism might be able to fulfill its social obligations (see Reinhoudt and Audier 2018, 149–156). Today's readers might be surprised to learn that Hayek's somewhat infamous *Road to Serfdom* contains strong polemics against "planning" but also concedes that "to limit working hours or to require certain sanitary arrangements, is fully compatible with the preservation of competition. . . . Nor is the preservation of competition incompatible with an extensive system of social services" (2001, 39). However, these passages are difficult to reconcile with the overall claim of his book that even the most modest attempts at

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planning are likely to lead a society down the road to serfdom. This tension at the heart of Hayek's account was Keynes's single but rather devastating point of criticism in a letter to Hayek: "You admit here and there that it is a question of knowing where to draw the line. You agree that the line has to be drawn somewhere [between free enterprise and planning], and that the logical extreme is not possible. But you give us no guidance whatever as to where to draw it" ([1944] 1980, 387).

To put the matter differently, while their relative importance as neoliberal adversaries certainly shifts over time, it is not possible to conceptually separate the critique of the welfare state from the critique of totalitarianism even in early neoliberal discourse.[5] Foucault may have overstated the case by referring to an "illiberal" "economic-political invariant" underlying the analyses of early neoliberalism (2008, 111), suggesting that all roads of planning ultimately lead into the abyss of totalitarianism. However, Lippmann's equivocation of the "gradual collectivism" that he detects in the New Deal with Fascism and Communism (1937, 106), as well as Röpke's criticism of the Beveridge Plan's extension of the welfare state in Great Britain, paints an ominous picture of the buildup of the welfare state that is reminiscent of Hayekian imagery: "The welfare state not only lacks automatic brakes and not only gathers impetus as it moves along, it also moves along a one-way street in which it is, to all intents and purposes, impossible or, at any rate, exceedingly difficult to turn back. . . . This implies growing centralization of decision and responsibility and growing collectivization of the individual's welfare and design of life" (1960, 162–163).[6]

To sum up this first point regarding the field of adversity, neoliberalism's prime antagonists are certainly Communism and National Socialism/Fascism, which the neoliberals view as nothing more than different manifestations of the same basic collectivism-cum-totalitarianism. But the point of the neoliberal conceptualization of this sector of the field of adversity is to draw connections between those most extreme instantiations of a politics of illiberalism and other phenomena that might be seen as respective prestages, such as the welfare state and, more indirectly, Keynesianism—and by extension those who would promote it, especially trade unions. The welfare state and the omnipresent but poorly defined planning associated with it supposedly represent collectivism *in nuce*—but

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there is a certain range of positions among neoliberals with regard to the inevitability and irreversibility of the drift toward collectivism. Furthermore, the relative dangers of the welfare state also depend on its particular configuration (see, e.g., Hayek 2001, 125).

It is against these adversaries that neoliberalism positions itself, seeking to *revitalize* a broadly liberal agenda or at least certain elements thereof in the face of the 1930s illiberal zeitgeist. To be sure, the fact that neoliberalism is concerned with a revitalization of liberal ideas, which must have seemed like an almost quixotic undertaking at the time, is hardly surprising; it is common sense among most commentators who choose a broadly historical approach to outlining the neoliberal project (see, e.g., Turner 2007, 42; Peck 2008, 14; Burgin 2012, 65). The more interesting component of what might be called the neoliberal formula can be derived from another, closer look at the field of adversity.

Narratives of Liberal Decline

The early neoliberals, both at the Colloque and at the founding meeting of the MPS, were adamant that the decline of neoliberalism was not only the result of the rise of its external adversaries but also attributable to problems *within* liberalism that would have to be addressed if it were to regain the status of a contender in the battle of ideas. An entire session of the Colloque was devoted to the internal factors responsible for the liberal demise, and the MPS also discussed the preconditions for a liberal revival in 1947 (see Reinhoudt and Audier 2018, 119–128). Thus, it is hardly an exaggeration to say that neoliberalism was the outcome of a collective liberal soul searching seen as a prerequisite for the revitalization of ideas that a hundred years earlier had almost reigned supreme. While neoliberalism is an attempt to revitalize a broadly liberal agenda, it is not simply a revival of these ideas. To face the challenges of (gradual) collectivism, it would not suffice to simply recycle classical liberal ideas and call for a return to the fundamental truths of Adam Smith or Adam Ferguson.[7] Liberalism would have to undergo a proper modernization if it were to successfully engage Keynesian and collectivist ideas, as Hayek made clear in his opening statement at the MPS founding conference: "As I see our task, it is not sufficient that our members

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should have what used to be called 'sound' views. The old liberal who adheres to a traditional creed *merely* out of tradition, however admirable his views, is not of much use for our purpose. What we need are people who have faced the arguments from the other side, who have struggled with them and fought themselves through to a position from which they can both critically meet the objection against it and justify their views" (1992, 240). Liberalism needed to be modernized in order to compete, or rather, survive in the twentieth century, according to the large majority of Colloque participants, so the neoliberal project could not be a solely restorative one.

What puts the "neo" into neoliberalism is obviously this modernizing effort. But this presupposed, crucially, a critical *revision* of the old liberal agenda and an analysis of its shortcomings and aberrations. In other words, the full field of adversity, against which neoliberalism defines itself, *also* includes wrongheaded strands of liberalism that developed over the latter half of the nineteenth century. These were internal factors of liberalism's decline, according to the neoliberal crisis narrative. Let us take a closer look at this narrative through four overlapping versions from Röpke, Rüstow, Friedman, and Hayek, all written some years after the Colloque but largely congruent with what we know about the discussions in its context.

Wilhelm Röpke's version of the crisis narrative begins with a rhetorical question: "Could it possibly be, that far from being just a victim of the societal crisis it [liberalism] could have contributed to it through its own errors? And if this should turn out to be the case and the crisis of modern society is also the crisis of liberalism, is there no room for hope that a cleansing and inner rejuvenation of liberalism will also be a crucial contribution to overcoming the crisis of society in general?" (1950a, 14–15). His examination of liberal decline operates on the basis of a distinction between an "imperishable" core of liberalism that is maintained and built on in a process of "rejuvenation from within" and "ephemeral" aberrations (ibid., 9). Three main "internal" problems are identified in his account: first, "the relation between liberalism and the functions of reason, second, its relation to community and third, the relation to economic life" (ibid., 25). The respective aberrations that have harmed liberalism are "rationalism, individualism and economic liberalism" (ibid.). Consequently, Röpke warns of the hubris of intellectualism and the dangers of individualism when they

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lead to atomization of the individual in society. In regard to socioeconomic life, he bemoans liberalism's one-sided focus on narrowly economic issues (ibid., 29), discussed later at greater length.

Alexander Rüstow is the most outspoken critic of liberalism among the neoliberals. He attributes the decline of liberalism, "the dominant philosophy of life in the Western World during the nineteenth century" (1942, 268), to reasons very similar to Röpke's last point. "In practice, liberalism meant for the nineteenth century predominantly economic liberty, i.e., the freedom of the market system" (ibid.). Still, Rüstow offers a much more elaborate account of the roots of the problem: a misconception of markets based on certain religious beliefs. For Adam Smith, as well as his physiocratic precursors, the economy was supposedly based on a "beneficial automatism of the economic laws" that had to be respected, and consequently all efforts at intervening in and steering this economy, for example, in the form of mercantilism, came to be seen as misguided in the name of "'Laissez-faire! Laissez-passer!' which at the same time was a summons to honor God and an adjuration not to allow short-sighted human anxieties to interfere with the eternal wisdom of the natural law" (ibid., 269, 270). As a result of this misguided understanding of the economic sphere and the failure to comprehend its linkage with other societal spheres, "an unmistakable degeneration of the market economy set in" toward the end of the nineteenth century (ibid., 272). A revitalized liberalism would have to abandon this misconception and shed the religious beliefs that fuel it. What clearly emerges from this as another intellectual adversary of neoliberalism is the (non)politics of laissez-faire. This is a major point that has often been ignored until the more recent controversies over neoliberalism and the financial crisis, in which neoliberalism supposedly represented the belief in self-regulating markets (see Stiglitz 2008). However, when we look at the intellectual origins of the neoliberal project, it is impossible not to see how strongly the early neoliberals distanced themselves from the twin ideas of the politics of laissez-faire and self-regulating markets.[8]

Not just the ordoliberals but even the young Milton Friedman (1955) subscribed to the crisis narrative of a misguided nineteenth-century "liberalism, old style"; in his "Neo-liberalism and Its Prospects" he explicitly identifies with the neoliberal agenda: "We have a new faith to offer; it behooves us to

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make it clear to one and all what that faith is" (1951, 2). And just like Röpke and Rüstow he constructs the prehistory of neoliberalism as one of liberal decline: "The collectivist belief in the ability of direct action by the state to remedy all evils is itself however an understandable reaction to a basic error in the 19th century individualist philosophy. This philosophy assigned almost no role to the state other than the maintenance of order and the enforcement of contracts. It was a negative philosophy. The state could do only harm. Laissez-faire must be the rule" (ibid.). Here, laissez-faire is even accused of indirectly contributing to the rise of collectivism, so there can be no doubt that the "new faith" of neoliberalism will have to do without it.

It may be surprising to those who think of Hayek as the patron saint of quasi-libertarian "Austrian economics," but as Austrian as he may be, Hayek was just as adamant as Rüstow and Friedman that a modernization of liberalism would require a critical assessment of its own mistakes and aberrations, including the notion of laissez-faire: "Probably nothing has done so much harm to the liberal cause as the wooden insistence of some liberals on certain rough rules of thumb, above all the principle of laissez-faire," he writes in *The Road to Serfdom* (2001, 18; see also Hayek 1992, 238). And in an entry on "liberalism" written for an encyclopedia, Hayek sets the stage for his account by distinguishing "two distinct sources" that will lead to the establishment of two different traditions within the liberal tradition (1978b, 119). In contrast to the framing of Röpke, who distinguished between a truly liberal core and various excesses and aberrations that subsequently come to taint that core, Hayek's liberalism is divided into two rival strands from the beginning. The first is a more conventionalist tradition personified by the thinkers of the Scottish Enlightenment from Smith to Hume. The second is a "continental or constructivist liberalism" (ibid., 125), which finds its most typical expression in the rationalism of Descartes or the staunch anticlericalism and antitraditionalism of Voltaire and, in Hayek's view, is particularly prone to losing its liberal sense of direction. The history of the liberal decline following its mid-nineteenth-century heyday is narrated very similarly to the other accounts, but in Hayek's version it is not just the laissez-faire radicalism of a Herbert Spencer that is considered an aberration detrimental to liberalism in general. As noted previously, the work of the later Mill and particularly the thought of T. H. Green intellectually

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prefigure a convergence of liberalism with strands of socialism or progressivism that results in what Hayek calls "moderate socialism" (ibid., 130). Thus, in Hayek's interpretation the decline of liberalism is the result of a bifurcation of the tradition into a faction of laissez-faire proponents, on the one hand, and supporters of the quasi-social-democratic "new liberalism," on the other, be it Green's version in the United Kingdom or Dewey's liberal progressivism in the United States.

So what have we learned about the neoliberal project through an examination of how it defines itself against its various others? The list of "external" opponents is headed by the various collectivisms but also includes Keynesianism, a sprawling welfare state, and its supporters. To contend with the various manifestations of this antiliberal syndrome, liberalism would have to be revitalized, something that could not be achieved through a restoration of the liberalism of the nineteenth century. Inevitably, revitalizing liberalism meant modernizing it, and that would result in a newly fashioned *neo*liberalism. Still, the precondition for a successful revitalization would be a critical assessment and revision of the liberal agenda, various versions of which we have just encountered. In other words, the field of adversity is not limited to an external dimension but also contains an internal one in which the twin aberrations against which neoliberalism defines itself—laissez-faire liberalism and new liberalism—are also to be found.

The Neoliberal Problematic

While this first sketch of the neoliberal project is already of some use, the effort to capture what defines this project can be taken further by addressing the neoliberal problematic. If the chief adversary of neoliberalism is collectivism, and that collectivism, in turn, is opposed to the capitalist market economy, then it is no surprise that the defense of capitalist markets broadly understood is the centerpiece of neoliberal thought. This is rather uncontroversial and seemingly leads us into the familiar territory of neoliberalism as market fundamentalism and turbo-capitalism. Yet this is not the case. After all, the idea of self-regulating markets requires the notion of a politics of laissez-faire in the noneconomic sphere if it is to be consistent. But if we take seriously the way the founders of the neoliberal project distanced themselves from or

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outright rejected the idea of laissez-faire, then it becomes virtually impossible to characterize neoliberalism as the doctrine of self-regulating markets. The neoliberals are no market fundamentalists; on the contrary, in a certain sense the market turns into a problem for them, because in the light of liberalism's decline and crisis, simply watching the iron laws of economics unfolding automatically and autonomously is no longer a tenable position for them. Consequently, the neoliberal problematic *concerns the political and social conditions of possibility for functioning markets*, the latter being characterized by the integrity of the price system, which must operate unperturbed.

The common denominator of neoliberalism cannot be expressed positively in the form of a number of doctrines or theses. What all neoliberals share is the problem of how to identify the factors indispensable to the maintenance of functioning markets, since the option of simply leaving them to themselves is no longer on the table. Obviously, this still leaves room for a range of different responses or ways of framing solutions to the neoliberal problematic as well as changes over time. What exactly it is that ensures the functioning of markets is a matter of continued dispute between different neoliberal thinkers and varieties of neoliberal thought. Thus, this is a conceptualization of neoliberalism that is still broad enough to capture the heterogeneities of neoliberal thought, the varieties of positions, and the transformations that take place over time. Still, there is a thin common denominator in the form of a shared problematic, and in my view this strikes the right balance between the Scylla of overly parsimonious definitions of neoliberalism as the doctrine of x, y, or z and the Charybdis of dissolving it into a constantly shape-shifting multiplicity of loosely related neoliberalisms.

I have argued that the market becomes a problem for neoliberals, and this is true in the sense that it is no longer seen as a mechanism operating independently of its surroundings. But this implies, strictly speaking, that the actual problem, and thus the center of attention, shifts to those surroundings that become the real focus of neoliberal thought, which suggests that we should develop a more "decentered" account of neoliberalism, where markets may reside at the center but the neuralgic area of analysis for a critical understanding of neoliberalism is the infrastructural periphery of markets. Thus, what we have in neoliberalism is not a body of economistic thought that views markets as existing in some kind of vacuum. Rather,

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neoliberalism must be understood as a discourse in political economy that explicitly addresses the noneconomic preconditions of functioning markets and the interactive effects between markets and their surroundings. Neoliberalism is often portrayed as fixated on markets and the economy, and it would be absurd to claim this to be entirely wrong, so I also acknowledge the centrality of markets for neoliberal thought. However, once we consider the writings of these neoliberals, who did not necessarily see themselves as conventional economists (see Mirowski 2009, 427), it turns out that they give at least equal weight, if not more, to the analysis of noneconomic issues and how they relate to the economy and the operation of markets. It is to these questions about the infrastructure of markets that neoliberals devote ever-renewed efforts of analysis and critique. While their views of markets per se, their internal workings as well their various merits, remain fairly stable over time, it is the noneconomic side of their work that turns out to be the most dynamic because it is here that the actual neoliberal problematic is addressed over and over again from different angles and perspectives. James Buchanan sums it up well in his description of his intellectual trajectory: "I found myself becoming a political philosopher, in inquiry if not by profession" (Buchanan and Musgrave 1999, 22).

Indeed, addressing these questions obviously and inevitably leads into genuinely political territory, which is the reason I have argued that the neoliberal problematic is an inherently political problematic: For example, how does the social environment of markets have to be shaped, what kind of state action is required, and what are the effects of democracy on the politics needed for functioning markets? It would not be accurate to state that scholarship on neoliberalism has ignored its political dimension entirely, but aside from a few exceptions this research mostly concerns the politics of actually existing neoliberalism. We may know a lot about the economic dimension of neoliberal theory and what may be problematic about "market justice," but surprisingly little is known about its political dimension. However, the intellectual desideratum of a reconstruction and analysis of this still underresearched area is not the only reason and rationale behind the endeavor to examine what I call the political theory of neoliberalism. It may be this political dimension—and not the economics of neoliberalism—that will turn out to provide the opportunity for a critique that does not exhaust

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itself in attacks on the "fixation on markets" and the "greed and egoism" neoliberalism supposedly fosters. Changing our focus may reveal that the political preconditions and implications of neoliberalism as they are laid out in neoliberal thought are too high a price to pay—even if the economics of neoliberalism turned out to be sound and acceptable. A final reason that those critical of neoliberalism should be interested in its political dimension is that the neoliberals and many of neoliberalism's critics inhabit eerily similar ground in regard to certain political issues. Neoliberals are critical of various aspects of the state, democracy, and science; but the same can be said about many of its (left-wing) critics. So it would seem important to examine closely the various positions and critiques thereof, not only to find out where and how these critiques and their suggested alternatives differ but also to explore whether or not there is something to be learned from neoliberal critiques and whether it might not be possible to borrow certain of their elements and redeploy them for critical purposes of one's own.

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